Transport and Communications, and its growth further declined in 2012-13. Activities in this sector, being forms of derived demand, tend to grow at a slower rate with the slowdown of economic activity in the industry and agriculture sectors.

Why has the economy slowed down so rapidly despite recovering strongly from the global financial crisis? A number of factors are responsible for this as per the ***Survey*** –

i. The boost to demand given by monetary and fiscal stimulus following the crisis was large. Final consumption grew at an average of over 8 per cent annually between 2009-10 and 2011-12. The result was strong inflation and a powerful monetary response that also slowed consumption demand.

ii. Starting in 2011-12, corporate and infrastructure investment started slowing both as a result of investment bottlenecks as well as the tighter monetary policy.

iii. Even as the economy slowed, it was hit by two additional shocks: a slowing global economy, weighed down by the crisis in the Euro area and uncertainties about fiscal policy in the United States, and a weak monsoon, at least in its initial phase.

As growth slowed and government revenues did not keep pace with spending, the fiscal deficit threatened to breach the target. With government savings falling, and private savings also shrinking, the current account deficit (CAD), which is the investment that cannot be financed by domestic savings and has to be financed from abroad also widened.

ASPECTS OF GROWTH

In the last decade, growth has increasingly come from the ***services sector***, whose contribution to overall growth of the economy has been **65** per cent, while that of the ***industry*** and ***agriculture*** sectors has been **27** per cent and **8** per cent, respectively.

For achieving an annual growth rate of 9 per cent or higher, all the three major sectors of the economy have to perform well. Growth in agriculture, while small in overall contribution, does distinguish years of strong overall